

Amãna Bank



Amana Bank PLC (PB 3618 PQ)

Interim Financial Statements

30 September 2024

Vision

To be an admired leader in providing equitable financial solutions, not limited to numerics, but also in earning the trust of our customers, employees, shareholders and country.

Mission

To adopt a unique and people friendly approach in banking with a passion for continuous improvement, enabling growth and enriching lives.



Amāna Bank Delivers Strong 9-Month Performance; Profits up 26% to cross LKR 1 Bn

- **Advances surpass LKR 100 billion milestone, with a growth of 16%**

Amāna Bank continued its strong financial performance as it closed the 9 months ending 30 September 2024 with a Profit Before Tax of LKR 1.98 billion, reflecting a 18% YoY increase compared to LKR 1.68 billion recorded for the corresponding period of 2023. Showcasing a 26% YoY growth, Profit After Tax grew from LKR 891 million to cross the LKR 1 billion mark and close at LKR 1.12 billion.

With financing rates declining across the banking industry in a bid to spur economic growth, the Bank's financing income closed at LKR 11.70 billion. However, by maintaining a strong financing margin of 4.1%, the Bank posted a Net Financing Income growth of 6% YoY to reach LKR 5.13 billion compared with LKR 4.85 billion posted in the corresponding period in 2023.

The Bank's Total Operating income stood at LKR 6.50 billion, marginally lower by 4% from last year. With a robust recovery mechanism in place and renewed customer engagement, the Bank was able to reduce its impairment charges by 73%, due to which Net Operating Income improved by 16% YoY to close at LKR 6.11 billion. Despite increase in Operating Expenses, the Bank continued to maintain a healthy cost to income ratio of 53%, resulting in a 6% YoY growth in Operating Profit before VAT on Financial Services to post LKR 2.69 billion. The Bank's aggregate tax contribution of approx. LKR 1.57 billion accounted for a significant 58% of the Bank's Operating Profit before all taxes. The Total Comprehensive Income for the period was LKR 1.10 billion, reflecting a healthy YoY growth of 24%.

Following the increased acceptance for non-interest based banking, the Bank's advances and deposits portfolios grew significantly during the 9 months ending 30 September 2024. Promoting its development focused banking approach, customer advances grew by 16% or LKR 15 billion to surpass the LKR 100 billion milestone to post LKR 104.42 billion whilst maintain an industry low Stage 3 Impairment ratio of 1.4%. Posting a healthy 9 month growth of 10%, customer deposits closed the 3rd quarter at LKR 145.72 billion, with a strong CASA ratio of 42.3% setting an industry benchmark. The Bank's Total Assets stood at LKR 172.52 billion whereas Net Asset Value per Share improved to LKR 41.40. Given the robust performance during the nine months, the Bank's ROE and ROA stood at 6.7% and 1.6% respectively. As at 30 September 2024, Amāna Bank's Common Equity Tier 1 and Total Capital ratios stood at 15.5% and 18.1% respectively, well above the regulatory minimum requirement of 7% and 12.5%.

During the third quarter Fitch Ratings Sri Lanka upgraded Amāna Bank's national long-term rating from BB+(Ika) to an investment grade rating of BBB-(Ika), with a stable outlook, opening up multiple opportunities for growth and expansion. The Bank also recently declared its 7th consecutive dividend,

being the highest ever dividend payout so far totalling LKR 661 million which marks a doubling of the dividend paid in 2023.

Commenting on the nine-month performance Amāna Bank Chairman Asgi Akbarally stated “In a quarter in which the entire country’s focus was primarily on the Presidential election, Amāna Bank, despite a challenging environment, once again showcased its resilience to post a strong financial performance on key matrices. On behalf of the board, I would like to extend our appreciation to all our valued stakeholders, who have continued to support the Bank’s journey of growth and prosperity.”

Also sharing his comments, Amāna Bank Managing Director/CEO Mohamed Azmeer stated “We are pleased with the Bank’s strong performance during the first nine months of the year, demonstrating its resilience and ability to deliver sustainable growth. Amāna Bank’s development focussed and people friendly banking approach along with prudent risk management practices and efficient operations have enabled us to navigate challenging market conditions and once again deliver value to its stakeholders. I am thankful to the Chairman and the Board of Directors, management, staff, shareholders and customers for their continued support, trust and confidence. With optimism, we look forward to end 2024 with a stronger performance as we continue our mission of enabling growth and enriching lives.”

Amāna Bank PLC is a stand-alone institution licensed by the Central Bank of Sri Lanka and listed on the Colombo Stock Exchange with Jeddah-based IsDB Group being the principal shareholder of the Bank. The IsDB Group is a ‘AAA’ rated multilateral development financial institution with a membership of 57 countries. Testifying its position as a leading practitioner of the non-interest based banking model, Amāna Banks continued to be recognized amongst the Top 50 Strongest Islamic Bank’s in the World by The Asian Banker.

Amāna Bank does not have any subsidiaries, associates, or affiliated institutions apart from its engagement with OrphanCare as its Founding Sponsor.

STATEMENT OF PROFIT OR LOSS

FOR THE	NINE MONTHS ENDED 30 SEPTEMBER			QUARTER ENDED 30 SEPTEMBER		
	2024	2023	Change %	2024	2023	Change %
	(Rs. '000)	(Rs. '000)		(Rs '000)	(Rs '000)	
Financing Income	11,701,029	12,974,294	(10%)	3,650,183	4,220,123	(14%)
Financing Expenses	(6,569,316)	(8,123,917)	(19%)	(2,058,122)	(2,733,733)	(25%)
Net Financing Income	5,131,713	4,850,377	6%	1,592,061	1,486,390	7%
Net Fee and Commission Income	792,358	701,451	13%	273,412	227,076	20%
Net Trading Income	571,798	1,166,979	(51%)	201,918	544,087	(63%)
Net Gains / (Losses) from Financial Investments at Fair Value through Profit or Loss	3,744	16,836	(78%)	(609)	6,141	(110%)
Net Gains / (Losses) from Derecognition of Financial Assets	(1,420)	119	(1,293%)	(870)	231	(477%)
Net Other Operating Income	2,783	2,118	31%	1,741	624	179%
Total Operating Income	6,500,976	6,737,880	(4%)	2,067,653	2,264,549	(9%)
Impairment Charges	(386,212)	(1,448,749)	(73%)	(34,487)	(12,277)	181%
Net Operating Income	6,114,764	5,289,131	16%	2,033,166	2,252,272	(10%)
Personnel Expenses	1,687,888	1,350,972	25%	560,678	475,771	18%
Depreciation and Amortisation of Property, Plant, Equipment and Right-of-Use Assets	239,806	200,178	20%	80,850	64,293	26%
Other Operating Expenses	1,493,098	1,195,098	25%	523,257	400,174	31%
Total Operating Expenses	3,420,792	2,746,248	25%	1,164,785	940,238	24%
Operating Profit Before VAT on Financial Services and Social Security Contribution Levy	2,693,972	2,542,883	6%	868,381	1,312,034	(34%)
VAT on Financial Services & Social Security Contribution Levy	(711,120)	(866,060)	(18%)	(236,950)	(438,062)	(46%)
Profit Before Tax	1,982,852	1,676,823	18%	631,431	873,972	(28%)
Tax Expense	(863,514)	(785,365)	10%	(275,514)	(402,110)	(31%)
Profit for the Period	1,119,338	891,458	26%	355,917	471,862	(25%)
Earnings Per Share -						
- Basic (in Rs.)	2.03	1.62	26%	0.65	0.86	(25%)
- Diluted (in Rs.)	2.00	1.59	26%	0.64	0.84	(25%)

STATEMENT OF COMPREHENSIVE INCOME

FOR THE	NINE MONTHS ENDED 30 SEPTEMBER			QUARTER ENDED 30 SEPTEMBER		
	2024	2023	Change	2024	2023	Change
	(Rs. '000)	(Rs. '000)	%	(Rs '000)	(Rs '000)	%
Profit for the Period	1,119,338	891,458	26%	355,917	471,862	(25%)
Other Comprehensive Income/(Loss)						
Other Comprehensive Income not to be Reclassified to Profit or Loss in Subsequent Periods:						
Financial Assets - Fair Value through Other Comprehensive Income:						
Net Gain / (Loss) on Financial Assets - Fair Value through Other Comprehensive Income	(18,906)	(2,701)	(600%)	(10,804)	29,710	(136%)
	(18,906)	(2,701)	600%	(10,804)	29,710	(136%)
Net Comprehensive Income not to be Reclassified to Profit or Loss in Subsequent Periods:	(18,906)	(2,701)	600%	(10,804)	29,710	(136%)
Other Comprehensive Income / (Loss) for the Period Net of Tax	(18,906)	(2,701)	600%	(10,804)	29,710	(136%)
Total Comprehensive Income for the Period	1,100,432	888,757	24%	345,113	501,572	(31%)

STATEMENT OF FINANCIAL POSITION

AS AT	30 SEP 2024 (Rs. '000)	31 DEC 2023 (AUDITED) (Rs. '000)	Change %
Assets			
Cash and Cash Equivalents	16,122,087	11,100,863	45%
Balances with Central Bank of Sri Lanka	8,890,733	9,446,863	(6%)
Placements with Banks	35,493,873	42,474,570	(16%)
Placements with Licensed Finance Companies	506,206	81	624,846%
Derivative Financial Assets	393,390	194,267	102%
Financial Assets Designated at Fair Value through Profit or Loss	143,693	8,994	1,498%
Financial Assets at Amortised Cost - Financing and Receivables to Other Customers	104,416,860	89,658,060	16%
Financial Assets Measured at Fair Value through Other Comprehensive Income	300,094	319,000	(6%)
Other Assets - Financial	1,594,473	2,006,909	(21%)
Property, Plant, Equipment And Right-of-Use Assets	2,831,128	2,775,396	2%
Intangible Assets	350,559	379,309	(8%)
Other Assets - Non Financial	692,718	303,034	129%
Deferred Tax Assets	784,430	784,430	-
Total Assets	172,520,244	159,451,776	8%
Liabilities			
Due to Banks	21,232	321,167	(93%)
Derivative Financial Liabilities	8,706	948	818%
Financial Liabilities at Amortised Cost - Due to Depositors	145,723,162	132,937,607	10%
Other Liabilities - Financial	3,023,040	3,391,138	(11%)
Current Tax Liabilities	585,694	722,144	(19%)
Dividend Payable	6,324	6,326	(0%)
Retirement Benefit Liability	143,561	130,416	10%
Other Liabilities - Non Financial	190,855	245,446	(22%)
Total Liabilities	149,702,574	137,755,192	9%
Shareholders' Funds			
Stated Capital	17,633,461	17,633,461	-
ESOP Reserve	71,633	50,979	41%
Statutory Reserve Fund	266,441	266,441	-
Revaluation Reserve	1,007,191	1,007,191	-
Fair Value Reserve	52,982	71,888	(26%)
Retained Earnings	3,785,962	2,666,624	42%
Total Equity	22,817,670	21,696,584	5%
Total Liabilities and Shareholders' Funds	172,520,244	159,451,776	8%
Net Asset Value per Ordinary Share	41.40	3.94	
Commitments and Contingencies	48,984,494	40,739,750	
Memorandum Information			
Number of Employees	896	886	
Number of Branches	33	33	

CERTIFICATION:

I certify that these Financial Statements comply with the requirements of the Companies Act No. 07 of 2007.

Sgd

M. Ali Wahid

Chief Financial Officer
13 November 2024

We, the undersigned, being Chairman and Managing Director / Chief Executive Officer of Amana Bank PLC certify jointly that:-

(a) the above statements have been prepared in compliance with the format and definitions prescribed by the Central Bank of Sri Lanka and Rule 7.4 of Colombo Stock Exchange.

(b) the information contained in these statements have been extracted from the unaudited Financial Statements of the Bank unless indicated as audited.

Sgd

Ali Asghar Akbarally

Chairman
13 November 2024

Sgd

Mohamed Azmeer

Managing Director / CEO
13 November 2024

STATEMENT OF CHANGES IN EQUITY

	Stated Capital	ESOP Reserve	Statutory Reserve Fund	Revaluation Reserve	Fair Value Reserve	Retained Earnings	Total
As at 31 December 2022 (Audited)	11,348,821	-	197,102	1,008,277	85,393	1,721,762	14,361,355
Profit for the nine months ended 30 September 2023	-	-	-	-	-	891,458	891,458
Total Comprehensive Income for the nine months ended 30 September 2023	-	-	-	-	(2,701)	-	(2,701)
Share Issue Expenses		-	-	-		(974)	(974)
Scrip Dividend - 2023	283,963				-	(283,963)	-
WHT on Scrip Dividend	-				-	(50,111)	(50,111)
As at 30 September 2023	11,632,784	-	197,102	1,008,277	82,692	2,278,172	15,199,027
Profit for the three months ended 31 December 2023	-	-	-	-	-	495,319	495,319
Total Comprehensive Income for the three months ended 31 December 2023	-	-	-	-	(10,804)	(3,503)	(14,307)
Share Issue Expenses	-	-	-	-	-	(35,111)	(35,111)
Rights Issue	6,000,677	-	-	-	-	-	6,000,677
Share-Based Payment Expenses	-	50,979	-	-	-	-	50,979
Transfers to Statutory Reserve Fund	-		69,339			(69,339)	-
Transferred to Retained Earnings	-	-	-	(1,086)	-	1,086	-
As at 31 December 2023 (Audited)	17,633,461	50,979	266,441	1,007,191	71,888	2,666,624	21,696,584
Profit for the nine months ended 30 September 2024	-	-	-	-	-	1,119,338	1,119,338
Total Comprehensive Income for the nine months ended 30 September 2024	-	-	-	-	(18,906)	-	(18,906)
Share-Based Payment Expenses	-	20,654	-	-	-	-	20,654
As at 30 September 2024	17,633,461	71,633	266,441	1,007,191	52,982	3,785,962	22,817,670

STATEMENT OF CASH FLOWS

FOR THE

	NINE MONTHS ENDED 30 SEPTEMBER	
	2024 (Rs. '000)	2023 (Rs. '000)
Cash Flows from Operating Activities		
Financing Income Received	12,131,633	13,937,622
Fees and Commission Received	790,938	701,570
Financing Expenses Paid	(7,448,340)	(7,461,519)
Foreign Exchange Income	571,798	1,166,979
Gratuity Payments Made	(12,434)	(15,961)
Payments to Employees and Suppliers	(3,845,873)	(3,388,611)
Operating Profit/(Loss) before Changes in Operating Assets and Liabilities	2,187,722	4,940,080
(Increase) / Decrease in Operating Assets		
Financing and Receivable to Other Customers	(15,147,108)	(5,310,757)
Other Assets	22,752	(1,188,916)
Balance with Central Bank of Sri Lanka	556,130	(4,178,622)
Increase / (Decrease) in Operating Liabilities		
Due to Other Customers	13,720,456	15,146,998
Due to Banks	(299,935)	(11,432,786)
Other Liabilities	(669,931)	1,462,817
Net Cash Flow from Operating Activities before Income Tax	370,086	(561,186)
Income Tax Paid	(999,964)	(912,730)
Net Cash From / (Used In) Operating Activities	(629,878)	(1,473,916)
Cash Flows From/(Used In) Investing Activities		
Acquisition of Property, Plant & Equipment	(245,332)	(74,473)
Proceeds from Sale of Property, Plant and Equipment	-	-
Acquisition of Intangible Assets	(21,456)	(13,241)
Investments in Placements with Banks	6,546,997	(8,060,004)
Investments in Placements with Licensed Finance Companies	(500,000)	(3)
Financial Assets Recognised through Profit or Loss - Measured at Fair Value	(130,955)	53,521
Dividend Received from Financial Assets	2,783	2,118
Net Cash From / (Used In) Investing Activities	5,652,037	(8,092,082)
Cash Flows From / (Used In) Financing Activities		
Rights Issue of Shares	-	-
Share Issue Expenses	-	(51,085)
Dividend Paid	(2)	(16)
Net Cash From / (Used In) Financing Activities	(2)	(51,101)
Net Increase / (Decrease) in Cash and Cash Equivalents	5,022,157	(9,617,099)
Cash and Cash Equivalents at the Beginning of the Year	11,107,767	22,607,924
Cash and Cash Equivalents at the End of the Period - Gross of Allowance for Impairment	16,129,924	12,990,825

CASH AND CASH EQUIVALENTS

	2024 (Rs. '000)	2023 (Rs. '000)
Cash in Hand	11,136,718	4,289,568
Balances with Banks	4,993,206	8,701,257
	16,129,924	12,990,825
Less: Allowance for Impairment	(7,837)	(8,710)
Total	16,122,087	12,982,115

NOTES TO THE FINANCIAL STATEMENTS

01. ANALYSIS OF FINANCIAL INSTRUMENTS BY MEASUREMENT BASIS

Financial instruments are measured on an ongoing basis either at fair value or at amortised cost. The summary of significant accounting policies stated in the Annual Financial Statements describes how the classes of financial instruments are measured, and how income and expenses, including fair value gains and losses, are recognised. The following table analyses the carrying amounts of the financial instruments by category as defined in SLFRS 9 and by headings of the Statement of Financial Position.

RUPEES IN THOUSANDS				
	FAIR VALUE THROUGH PROFIT OR LOSS	AMORTIZED COST	FAIR VALUE THROUGH OTHER COMPREHENSIVE INCOME	TOTAL AS AT 30.9.2024
Financial Assets				
Cash and Cash Equivalents	-	16,122,087	-	16,122,087
Balances with Central Bank of Sri Lanka	-	8,890,733	-	8,890,733
Placements with Banks	-	35,493,873	-	35,493,873
Placements with Licensed Finance Companies	-	506,206	-	506,206
Derivative Financial Assets	393,390	-	-	393,390
Financial Assets Designated at Fair Value through Profit or Loss	143,693	-	-	143,693
Financial Assets at Amortised Cost - Financing and Receivables to Other Customers	-	104,416,860	-	104,416,860
Financial Assets measured at Fair Value through Other Comprehensive Income	-	-	300,094	300,094
Other Assets - Financial	-	1,594,473	-	1,594,473
Total Financial Assets	537,083	167,024,232	300,094	167,861,409
Financial Liabilities				
Due to Banks	-	21,232	-	21,232
Derivative Financial Liabilities	8,706	-	-	8,706
Financial Liabilities at Amortised Cost - Due to Depositors	-	145,723,162	-	145,723,162
Other Liabilities - Financial	-	3,023,040	-	3,023,040
Total Financial Liabilities	8,706	148,767,434	-	148,776,140

	FAIR VALUE THROUGH PROFIT OR LOSS	AMORTIZED COST	FAIR VALUE THROUGH OTHER COMPREHENSIVE INCOME	TOTAL AS AT 31.12.2023 (AUDITED)
Financial Assets				
Cash and Cash Equivalents	-	11,100,863	-	11,100,863
Balances with Central Bank of Sri Lanka	-	9,446,863	-	9,446,863
Placements with Banks	-	42,474,570	-	42,474,570
Placements with Licensed Finance Companies	-	81	-	81
Derivative Financial Assets	194,267	-	-	194,267
Financial Assets Designated at Fair Value through Profit or Loss	8,994	-	-	8,994
Financial Assets at Amortised Cost - Financing and Receivables to Other Customers	-	89,658,060	-	89,658,060
Financial Assets measured at Fair Value through Other Comprehensive Income	-	-	319,000	319,000
Other Assets - Financial	-	2,006,909	-	2,006,909
Total Financial Assets	203,261	154,687,346	319,000	155,209,607
Financial Liabilities				
Due to Banks	-	321,167	-	321,167
Derivative Financial Liabilities	948	-	-	948
Financial Liabilities at Amortised Cost - Due to Depositors	-	132,937,607	-	132,937,607
Other Liabilities - Financial	-	3,391,138	-	3,391,138
Total Financial Liabilities	948	136,649,912	-	136,650,860

02. FINANCING AND RECEIVABLES TO OTHER CUSTOMERS

RUPEES IN THOUSANDS

ANALYSIS OF FINANCING AND RECEIVABLES TO OTHER CUSTOMERS	30.9.2024	31.12.2023 (AUDITED)
Gross Financing and Receivables to Other Customers	110,725,411	95,587,204
Accumulated Impairment		
Stage 1	(1,328,728)	(1,131,910)
Stage 2	(2,429,311)	(2,675,414)
Stage 3	(2,550,512)	(2,121,820)
Net Financing and Receivables to Other Customers	104,416,860	89,658,060

NOTES TO THE FINANCIAL STATEMENTS

ANALYSIS OF FINANCING AND RECEIVABLES TO OTHER CUSTOMERS - (Contd...)

FINANCING AND RECEIVABLES TO OTHER CUSTOMERS - BY PRODUCT

RUPEES IN THOUSANDS

By Product - Domestic Currency	30.9.2024	31.12.2023 (AUDITED)
Overdraft	12,815,373	8,881,574
Trade Finance	1,198,432	637,338
Lease Receivables	8,543,815	5,551,287
Staff Facilities	837,366	715,175
Term Financing	67,689,791	62,347,061
Gold Facilities	11,220,603	11,744,010
Others	265,692	594,422
Sub Total	102,571,072	90,470,867
By Product - Foreign Currency		
Overdraft	30,184	32,586
Term Financing	5,059,288	3,944,462
Trade Finance	2,233,739	1,009,372
Others	831,128	129,917
Sub Total	8,154,339	5,116,337
Total	110,725,411	95,587,204

03. IMPAIRMENT ALLOWANCE FOR FINANCING AND RECEIVABLES TO OTHER CUSTOMERS

A reconciliation of the allowance for impairment losses for Financing and Receivables to Other Customers, under SLFRS 9 is as follows:

	RUPEES IN THOUSANDS			
	STAGE 1	STAGE 2	STAGE 3	TOTAL IMPAIRMENT
ECL allowance as at 1 January 2024 under SLFRS 9	1,131,910	2,675,414	2,121,820	5,929,144
Charge/(Write Back) for the year	196,818	(246,103)	428,692	379,407
Amounts written off	-	-	-	-
As at 30 September 2024	1,328,728	2,429,311	2,550,512	6,308,551

	RUPEES IN THOUSANDS			
	STAGE 1	STAGE 2	STAGE 3	TOTAL IMPAIRMENT
				(AUDITED)
ECL allowance as at 1 January 2023 under SLFRS 9	980,928	1,711,996	1,226,947	3,919,871
Charge/(Write Back) for the year	150,982	963,418	997,123	2,111,523
Amounts written off	-	-	(102,250)	(102,250)
As at 31 December 2023	1,131,910	2,675,414	2,121,820	5,929,144

NOTES TO THE FINANCIAL STATEMENTS

04. COMMITMENTS AND CONTINGENCIES

ANALYSIS OF COMMITMENTS AND CONTINGENCIES	RUPEES IN THOUSANDS	
	30.9.2024	31.12.2023 (AUDITED)
Gross Commitments and Contingencies	49,081,529	40,827,874
Allowance for Impairment		
Stage 1	(63,352)	(69,049)
Stage 2	(26,044)	(12,781)
Stage 3	(7,639)	(6,294)
Net Financing and Receivables to Other Customers	48,984,494	40,739,750

FINANCING AND RECEIVABLES TO OTHER CUSTOMERS - BY PRODUCT

	RUPEES IN THOUSANDS	
	30.9.2024	31.12.2023 (AUDITED)
Commitments for Unutilised Facilities	13,504,074	13,852,696
Letters of Credit	3,740,360	1,684,792
Guarantees, Bonds	6,154,472	4,718,325
Outward Clearing Cheques	1,524,867	779,852
Acceptances	5,146,348	4,383,996
Bills for Collection and Others	3,464,674	2,768,973
Promissory Forward Sales	14,438,136	11,667,240
Promissory Forward Purchases	1,108,598	972,000
Total	49,081,529	40,827,874

05. DUE TO OTHER CUSTOMERS - BY PRODUCT

ANALYSIS OF DEPOSITS	RUPEES IN THOUSANDS	
	30.9.2024	31.12.2023 (AUDITED)
By Product - Domestic Currency		
Demand Deposits	9,599,022	7,919,680
Savings Deposits	45,553,947	39,136,072
Time Deposits	65,289,517	58,708,725
Sub Total	120,442,486	105,764,477
By Product - Foreign Currency		
Demand Deposits	1,047,457	1,137,636
Savings Deposits	5,492,279	4,609,742
Time Deposits	18,740,940	21,425,752
Sub Total	25,280,676	27,173,130
Total	145,723,162	132,937,607

NOTES TO THE FINANCIAL STATEMENTS

06. FAIR VALUE OF FINANCIAL ASSETS AND LIABILITIES

All financial assets and liabilities for which fair value is measured or disclosed in the financial statements are categorised within the fair value hierarchy, as described below.

- Level 1 Quoted price (unadjusted) in active markets for the identical assets or liabilities. This level includes listed equity securities and / or debt instruments.
- Level 2 Inputs other than quoted prices included within Level 1 that are observable for the asset or liability, either directly (i.e. as prices) or indirectly (i.e. derived from prices).
- Level 3 Inputs for asset or liability that are not based on observable market data (unobservable inputs). This level includes equity and / or debt instruments with significant unobservable components.

	LEVEL 1	LEVEL 2	LEVEL 3	RUPEES IN THOUSANDS TOTAL
As at 30 September 2024				
Financial Assets				
Derivative Financial Assets	-	393,390	-	393,390
Financial Assets Designated at Fair Value through Profit or Loss	143,693	-	-	143,693
Income	297,101	-	2,993	300,094
	440,794	393,390	2,993	837,177
Financial Liabilities				
Derivative Financial Liabilities	-	8,706	-	8,706
	-	8,706	-	8,706

	LEVEL 1	LEVEL 2	LEVEL 3	RUPEES IN THOUSANDS TOTAL (AUDITED)
As at 31 December 2023				
Financial Assets				
Derivative Financial Assets	-	194,267	-	194,267
Financial Assets Designated at Fair Value through Profit or Loss	8,994	-	-	8,994
Income	316,007	-	2,993	319,000
	325,001	194,267	2,993	522,261
Financial Liabilities				
Derivative Financial Liabilities	-	948	-	783,200
	-	948	-	783,200

Derivative Financial Assets and Liabilities:

Derivative products are promissory forward foreign exchange transactions, valued using a valuation technique with market-observable inputs. The most frequently applied valuation techniques include promissory forward foreign exchange spot and Net Present Value.

Financial Assets Recognised through Profit or Loss - Measured at Fair Value, Financial Assets Measured at Fair Value through Other Comprehensive Income

The estimated fair values are based on quoted and observable market prices.

Financial Instruments not carried at Fair Value

Set out below is a comparison, by class, of the carrying amounts and fair values of the Bank's financial instruments that are not carried at fair value in the Financial Statements. This table does not include the fair values of Non-Financial Assets and Non-Financial Liabilities.

	30.9.2024		31.12.2023	
	CARRYING VALUE	FAIR VALUE	CARRYING VALUE (AUDITED)	FAIR VALUE (AUDITED)
Financial Assets				
Cash and Cash Equivalents	16,122,087	16,122,087	11,100,863	11,100,863
Balance with Central Bank of Sri Lanka	8,890,733	8,890,733	9,446,863	9,446,863
Placements with Banks	35,493,873	35,493,873	42,474,570	42,490,688
Placements with Other Companies	506,206	506,206	81	81
Financial Assets at Amortised Cost - Financing and Receivables to Other Customers	104,416,860	96,365,125	89,658,060	87,894,133
Other Assets - Financial	1,594,473	1,594,473	2,006,909	2,006,909
	167,024,232	158,972,497	154,687,346	152,939,537
Financial Liabilities				
Due to Banks	21,232	21,232	321,167	321,167
Financial Liabilities at Amortised Cost - Due to Depositors	145,723,162	145,723,162	132,937,607	132,937,607
Other Liabilities - Financial	3,023,040	3,023,040	3,391,138	3,391,138
	148,767,434	148,767,434	136,649,912	136,649,912

The following describes the methodologies and assumptions used to determine fair values for those financial instruments which are not already recorded at fair value in the Financial Statements:

Balances with Banks, Balances with Licensed Finance Companies, Other Financial Assets and Other Financial Liabilities

For the above, the carrying value is a reasonable estimate of fair values.

Financial Assets at Amortised Cost - Financing and Receivables to Other Customers

The fair value of the above are estimated by discounting the estimated future cash flows using the prevailing market rates for financing as of the reporting date with similar credit risks and maturities (Level 3).

Financial Liabilities at Amortised Cost - Due to Depositors

The fair values of the above are deemed to approximate their carrying amounts as rate of returns are determined at the end of their holding periods based on the profit generated from the relevant investments.

NOTES TO THE FINANCIAL STATEMENTS

07. SELECTED PERFORMANCE INDICATORS (AS PER REGULATORY REPORTING)

	AS AT 30.9.2024	AS AT 31.12.2023 (AUDITED)
Regulatory Capital (Rs. '000)		
Common Equity Tier 1 (before applicable adjustments)	21,368,797	20,609,660
Common Equity Tier 1 (after applicable adjustments)	20,139,045	19,324,373
Tier 1 Capital	20,139,045	19,324,373
Total Capital	23,487,598	22,600,754
Regulatory Capital Ratios (%)		
Common Equity Tier 1 Capital Ratio (Minimum Requirement 7.0%)	15.5%	16.5%
Tier I Capital Ratio (Minimum Requirement 8.5%)	15.5%	16.5%
Total Capital Ratio (Minimum Requirement 12.5%)	18.1%	19.3%
Leverage Ratio % (Minimum Requirement 3%)	11.0%	11.6%
Assets Quality (Quality of Financing and Advance Portfolio)		
Impaired Financing and Advances (Stage 3) Ratio (%)	1.4%	1.5%
Impairment (Stage 3) to Stage 3 Financing and Advances Ratio (%)	59.1%	56.5%
Profitability		
Financing Margin (%)	4.1%	4.3%
Return on Assets (Before Tax)	1.6%	1.5%
Return on Equity	6.7%	7.7%
Regulatory Liquidity		
Total Stock of High Quality Liquid Assets (Rs. in Millions)	18,905	13,936
Liquidity Coverage Ratio (%) (Minimum Requirement 100%)		
- Rupee (%)	405.0%	300.0%
- All Currency (%)	308.1%	234.9%
Net Stable Funding Ratio (%) (Minimum Requirement 100%)	126.0%	187.7%

NOTES TO THE FINANCIAL STATEMENTS

08. SEGMENT INFORMATION

The following table presents information on total income, profit, total assets and liabilities regarding the Bank's operating segments.

FOR THE PERIOD ENDED 30 SEPTEMBER 2024	RUPEES IN THOUSANDS					TOTAL
	CONSUMER BANKING	BUSINESS BANKING	TOTAL BANKING	TREASURY	UNALLOCATED / ELIMINATION	
Income						
Financing Income	2,965,717	6,734,239	9,699,956	2,001,073	-	11,701,029
Net Fee and Commission Income	296,908	439,836	736,744	28,127	27,487	792,358
Net Trading Income	-	-	-	571,798	-	571,798
Net Gains / (Losses) from Financial Investments at Fair Value Through Profit or Loss	-	-	-	3,744	-	3,744
Net Gains / (Losses) from Derecognition of Financial Assets	-	-	-	(1,420)	-	(1,420)
Other Operating Income	-	-	-	2,783	-	2,783
Total Income	3,262,625	7,174,075	10,436,700	2,606,105	27,487	13,070,292
Less						
Financing Expenses			(6,494,994)	(10,640)	(63,682)	(6,569,316)
Impairment Charges			(388,319)	2,107	-	(386,212)
Operating Expenses			(2,428,762)	(992,030)	-	(3,420,792)
Operating Profit Before VAT on FS & SSCL			1,124,625	1,605,542	(36,195)	2,693,972
VAT on FS & SSCL						(711,120)
Profit Before Tax						1,982,852
Tax Expense						(863,514)
Profit After Tax						1,119,338
Total Assets	26,948,774	77,468,086	104,416,860	41,378,838	26,724,546	172,520,244
Total Liabilities	114,982,094	30,741,068	145,723,162	8,706	3,970,706	149,702,574

FOR THE PERIOD ENDED 30 SEPTEMBER 2023	RUPEES IN THOUSANDS					TOTAL
	CONSUMER BANKING	BUSINESS BANKING	TOTAL BANKING	TREASURY	UNALLOCATED / ELIMINATION	
Income						
Financing Income	3,081,592	7,871,092	10,952,684	2,021,610	-	12,974,294
Net Fee and Commission Income	235,961	460,660	696,621	20,551	(15,721)	701,451
Net Trading Income	-	-	-	1,166,979	-	1,166,979
Net Gains / (Losses) from Financial Investments at Fair Value Through Profit or Loss	-	-	-	16,836	-	16,836
Net Gains / (Losses) from Derecognition of Financial Assets	-	-	-	119	-	119
Other Operating Income	-	-	-	2,118	-	2,118
Total Income	3,317,553	8,331,752	11,649,305	3,228,213	(15,721)	14,861,797
Less						
Financing Expenses			(7,606,613)	(491,133)	(26,171)	(8,123,917)
Impairment Charges			(1,430,434)		(18,315)	(1,448,749)
Operating Expenses			(1,922,374)	(796,412)	(27,462)	(2,746,248)
Operating Profit Before VAT on FS			689,884	1,940,668	(87,669)	2,542,883
VAT on FS & SSCL						(866,060)
Profit Before Tax						1,676,823
Tax Expense						(785,365)
Profit After Tax						891,458
Total Assets	23,653,524	63,406,982	87,060,506	44,683,765	16,547,055	148,291,326
Total Liabilities	96,013,335	32,315,906	128,329,241	345,407	4,417,651	133,092,299

EXPLANATORY NOTES

1. These Interim Financial Statements have been prepared in accordance with LKAS 34 - Interim Financial Reporting and present information required by Listing Rules of Colombo Stock Exchange.
2. The interim condensed Financial Statements do not include all the information and disclosure required in the Annual Financial Statements, and should be read in conjunction with Annual Financial Statements as at 31 December 2023.
3. During the quarter, the Board of Directors unanimously resolved to reduce the existing number of shares by the consolidation of every existing Ten (10) shares in to One (1) share, without a change to the Stated Capital of the Bank whilst leaving unaffected the relative voting and distribution rights. The same was approved by the Shareholders at the Extraordinary General Meeting held on 5 July 2024.

Capital Structure and Number of Shares in issue Pre and Post Consolidation:

	Pre Consolidation	Post Consolidation
Number of Ordinary Voting Shares	5,511,257,461	551,125,746
Value (Rs.)	17,633,461,196	17,633,461,196

4. There are no material events that took place after the Statement of Financial Position date which require adjustment to or disclosures in the Financial Statements other than the following:

On 28 September 2024, the Board of Directors declared an interim dividend of Rs. 1.20 per share for the financial year 2024. As required by Section 56 (2) of the Companies Act No. 07 of 2007, the Board of Directors having determined that the Bank satisfied the solvency test in accordance with Section 57 of the Companies Act No. 07 of 2007, subsequently obtained the certificate to this effect from the Bank's auditors, Messrs. Ernst & Young. The interim dividend was paid during the month of October 2024.

5. The accounting policies adopted in the presentation of the interim condensed Financial Statements are consistent with those followed in the preparation of the Bank's Annual Financial Statements for the year ended 31 December 2023.
6. Comparative figures have been restated wherever necessary to conform to the current period's presentation.
7. There has not been a significant change in the nature of the contingent liabilities as disclosed in the Annual Report of 2023.
8. Market Price of Ordinary Shares (the Bank listed its ordinary shares on the Colombo Stock Exchange on 29 January 2014) :

	2024 Rs.	2023 Rs.
Last Traded Price as at 30 September	22.60	2.30
Highest Market Price during the quarter ended 30 September	23.70	2.80
Lowest Market Price during the quarter ended 30 September	2.20	2.30

EXPLANATORY NOTES
09. TWENTY LARGEST SHAREHOLDERS AS AT 30 SEPTEMBER 2024

No	Name of Shareholder	No. of Shares	%
1	IB Growth Fund (Labuan) LLP	137,277,245	24.91%
2	Sampath Bank PLC / Senthilverl Holdings (Pvt) Ltd	57,177,381	10.37%
3	Mr. Mohamed Haji Omar	49,432,286	8.97%
4	Mr. Osman Kassim / Mrs. Khairunniss Kassim / Mr. Abdullah Osman Kassim	34,466,896	6.25%
5	Cargills Bank Limited / Senthilverl Holdings (Pvt) Ltd	29,022,673	5.27%
6	Bank Islam Malaysia Berhad	20,949,916	3.80%
7	AB Bank Limited	20,949,916	3.80%
8	Quick Tea (Pvt) Ltd	20,476,459	3.72%
9	Islamic Development Bank	18,339,298	3.33%
10	Akbar Brothers Pvt Ltd A/C No 1	18,302,459	3.32%
11	E.W. Balasuriya & Co. (Pvt) Ltd Acc No 01	13,043,478	2.37%
12	Domon Ltd	11,573,996	2.10%
13	Mr. Mohamed Aadil Mohamed Asmath	9,761,626	1.77%
14	P M Mohamedali & Co	8,753,665	1.59%
15	Millennium Capital Investments Pte Ltd	8,138,133	1.48%
16	Lynear Wealth Management / Mr. Hanif Yusooif	6,747,826	1.22%
17	Mr. Mohamed Adnaan Mohamed Iqbal	6,527,541	1.18%
18	Mr. Shafik Kassim	6,445,236	1.17%
19	Mr. Sattar Kassim	4,724,466	0.86%
20	Mr. Nagi Saleh Mohammed Alfaqih	4,337,591	0.79%
Sub total		486,448,087	88.26%
Other Shareholders (Number of Shareholders 8,902)		64,677,659	11.74%
Total		551,125,746	100.00%

Percentage of Public Holding as at 30 September 2024	39.69%
Number of Shareholders	8,898
Float adjusted market capitalisation	Rs 4.92 Bn

Bank complies with the minimum public holding requirement under option 4 as specified by rule 7.13.1 (a) of the Listing Rules of Colombo Stock Exchange

10. DIRECTORS' HOLDING IN SHARES AS AT 30 SEPTEMBER 2024

Name	No. of Shares
Mr. Ali Asghar Akbarally	Nil
Mr. Mohamed Azmeer	300,000
Mr. Tishan Subasinghe	Nil
Mr. Dilshan Hettiaratchi	Nil
Mr. M Ataur Rahman Chowdhury	Nil
Mr. S M Asim Raza	Nil
Mr. K M P B Abdullah	Nil
Mr. Mohamed Adamaly	Nil
Mr. Mohammad Hassan	Nil
Mr. Delvin Pereira	Nil
Mr. Azreen Zaheer	Nil